**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA**

*In the matter of an Application for Orders in the nature of Writs of Certiorari, Prohibition and Mandamus under Article 140 of the Constitution of the Democratic Socialist Republic of Sri Lanka.*

T.M.H. Rifas,
No. 251/5, Meeraniya Street,
Colombo 12.

**CA (Writ) App. No. 335/2024**

**PETITIONER**

**Vs.**

1. P.B.S.C. Nonis,
   Director-General of Customs,
   Sri Lanka Customs,
   Customs House,
   No. 40, Main Street,
   Colombo 11.

2. A.M.K.D. Adikari,
   Deputy Director of Customs,
   Customs House,
   No. 40, Main Street,
   Colombo 11.

3. Hatton National Bank,
   Level 19,
   No. 479, T.B. Jayah Mawatha,
   Colombo 01.

4. Hon. Attorney General,
   Attorney General's Department,
   Hulfsdorp,
   Colombo 12.

**RESPONDENTS**

**Before:** Dr. D. F. H. Gunawardhana, J.

**Counsel:**

Nishan Sydney Premathiratne with Shenali Dias instructed by Gamindu Karunasena for the Petitioner.

Rajika Aluwihare,S.C for the 1st, 2nd, and 4th Respondents.

Sarasi Dissanayake instructed by Melody Wikramanayake for the 3rd Respondents.

**Argued on:** 26.11.2025

**Delivered on:** 09.03.2026

**Dr. D. F. H. Gunawardhana, J.,**

## Judgement

### Introduction

The Petitioner is an importer, and he claims to have imported certain items to Sri Lanka. On importation before clearance from the Customs, he has made a declaration indicating that he has imported certain fancy items. However, since the items mentioned on the commercial invoice and packing list and the items mentioned in the Customs Declaration are not correspondently aligned, the Customs has investigated the matter and found that, other than the fancy items, he has imported certain clothing items which are more valuable. Accordingly, the producing officer has referred the matter to an Inquiring Officer. The Inquiring Officer has inquired into the matter and made an order, which is marked as **P3**, requiring the Petitioner to pay the mitigated forfeiture (Rs. 104,929/-) and additional levy (Rs. 841,980/-), which he has paid.

However, immediately thereafter, the same producing officer has made an appeal to the Director General of Customs, the 1st Respondent, and on that appeal, the Director General has directed the same Inquiring Officer who made the order **P3** to reconsider the charges under Section 47 of the Customs Ordinance (hereinafter referred to as "the Ordinance"), in addition to Section 50, which he has already considered on the first instance. Based on that direction, the Inquiring Officer has further inquired into the matter, and charges were framed under Section 47 and enhanced the custom levy depending on the valuation. On that, the Petitioner has come before this Court seeking to invoke the writ jurisdiction of this Court.

Pending the inquiry, on a bank guarantee, the Petitioner was permitted to clear the goods. In those circumstances, the Petitioner also challenges the order of the 1st Respondent, directing the Inquiring Officer to re-visit the order made by him.

After issuing notice, the Respondents have also filed Objections, and it is the position taken up by the Respondents that the Director General can give a direction on being invoked the right of appeal, which is even extended to the party aggrieved.

The second matter is that the Director General can give such a direction to reconsider under different sections if the violation falls under separate sections as well.

This was argued before me on 26.11.2025, and the following submissions were made; hence this judgment.

**Arguments**

For and on behalf of the Petitioner, Mr. Nishan Premathiratne contended that there is no procedure for appeal laid down by the Customs Ordinance or any rules for any customs officer or an investigating officer to the Director General, other than the appeal made by an aggrieved party made by Section 2, who is normally an importer.

The second contention of Mr. Premathiratne is that the Director General has instructed the same Inquiring Officer to further inquire into the matter; therefore, there is a violation of rules of natural justice as he has re-heard his own case.

On the other hand, Mr. Aluwihare argued that since there is a clear case of non-correspondence of items mentioned on the commercial invoice and packing list with the Customs Declaration of the items imported, there is a non-alignment; as such, there is clear violation of Section 14, in addition

to Section 50, on which the Petitioner was initially charged. Therefore, the Director General, having exercised his power on an appeal made by the Producing Officer, has directed the Inquiring Officer to revisit the same violation under a separate section as well, which is clear violation as far as the facts of this case are concerned, namely Section 50.

In addition to that, he argued that even a court of higher appellate forum gives direction to the same judge who made an error or mistake to reconsider on a different principle and question of law; thus, it is quite normal.

**Factual matrix**

The Petitioner claims to be the importer on record. He has imported a consignment of goods, including sub woofers and fancy items; the Petitioner has so imported sub woofers and fancy items, blenders, and small quantities of sound boxes in September 2017. However, when he submitted the Custom Declaration through the clearance agents to clear the goods from the Customs, the same was retained by the producing officer who gave evidence at the inquiry before the inquiring officer. It was so retained due to a discrepancy in the description of the goods imported in the Custom Declaration with the commercial invoice and packing list; certain ready-made garments that the Petitioner had imported were not mentioned in the Customs Declaration. Therefore, an inquiry was held in terms of Section 8 of the Customs Ordinance, and the Petitioner was ordered to pay mitigated forfeiture of Rs. 104,929/- (One Hundred and Four Thousand Nine Hundred and Twenty-Nine Rupees) and additional levy of Rs. 841,980/- (Eight Hundred and Forty-One Thousand Nine Hundred and Eighty Rupees), by the document marked as **P3**.

However, after making the said payment, when he attempted to clear the consignment, still the producing officer retained the same and requested the 1st Respondent, the Director General of

Customs, to give a direction to exercise his power under the Section 2, to the same inquiring officer who had inquired into the matter under Section 8, to reconsider his order and make another order under Section 47. Pending the inquiry, the consignment of the goods were released on the bank guarantee, which is the document marked as **P4** annexed to the Petition. Thereafter, a full-scale inquiry ensued, where three witnesses were called to give evidence.

Now I will consider the relevant evidence so led by the assisting officer witnesses before the 2nd Respondent (the Inquiring Officer).

**Evidence adduced**

The producing officer's evidence was adduced first. According to the evidence of the producing officer, after the initial Customs inquiry has been conducted under Section 8, since there was a discrepancy of the items declared in the Customs Declaration, which is referred to as No. CRTF/2057/2017, and with regard to the mismatch (discrepancy) of the description of goods imported between the Customs Declaration and the Commercial Invoice and Packing list.

The producing officer has further stated in evidence that the importer (the Petitioner to the present Application) had imported several consignments of goods after having registered with the Customs in terms of Section 115 of the Customs Ordinance. However, he has received only open papers of shipment in or around September 2017. Thereafter, he had handed over the said papers for clearance to the relevant clearing agents; and one of the employees of the clearing agents who does not have any authorisation, had visited the Customs Clearance Department along with an authorized person and submitted the Customs Declaration along with other relevant documents.

By that time, the producing officer had received information on 08.09.2017 as to the type of goods contained in the consignment; therefore, he was waiting until the Customs Declaration was submitted for clearance. Once the Customs Declaration was submitted for clearance, he started investigations and found that not only the shipping documents but also the other relevant documents including 'the manifest' sent by the ship owner 72 hours prior to the arrival of the ship at the Colombo Harbour were different from the commercial invoice, Bill of Lading, and packing list from the said goods not so declared in the Customs Declaration. Therefore, there was a mismatch.

The relevant parts of evidence adduced in the inquiry held on 13.03.2018 reads thus;

> *"Q: What did your informant say in that information?*
>
> *A: The cargo has been declared as subwoofer and fancy goods but actually it contains readymade garments. Also if they come to know that the container is detained by some other branch outside the pre-arranged branch the importer will attempt to re-export the cargo.*
>
> *Q: Did you get prior permission from your higher officers to register the case?*
>
> *A: Yes. The approval of the DC RTF.*
>
> ...
>
> *Q: Who produced your office the Cusdec and connected documents?*
>
> *A: Mr. S.F.M. Rifkan, wharf representative of Escalade Clearing & Forwarding*
>
> *Q: Can you tell this inquiry whether the person who submitted you the Cusdec was a duly authorized person to do so?*

*A: No. The declarant in the CusDec is Nawalanka Clearing Agency but Mr. Rifkan has not authorization.*

***Q: According to your statement you have recorded evidence from the person who submitted you the Cusdec. What made you to record his evidence?***

***A: I observed that the description of goods in the B/L was totally different with the CusDec therefore, I wanted to know as to who was responsible for this mismatch and how it has happened. Since Mr. Rifkan was neither the declarant nor the importer the above information was very vital.*** *"*[1] [Emphasis is mine]

Therefore, on suspicion, he has further investigated into the matter, and after the apprehension of the relevant importer on record who was also called to give evidence for the prosecution of Rifas (the Petitioner), and also the virtual importer Ayubdeen. He inspected the suspicious container in the presence of those people other than the clearing agent's officers. When they opened the container where the said consignment of goods were packed, they found that near the door of the container, the declared goods were packed and ninety percent of the undeclared goods of ready-made garments were hidden inside the container.

It was his evidence that having taken the necessary photographs which was also produced at the inquiry by the said officer, the inspection was closed while the relevant people and other officers were there. However, Ayubdeen had left before the said inspection was closed; nevertheless, they all had been there when it was opened. Thereafter, they had found that 90% of the goods found in the said container were undeclared, which are also liable to be taxed. Therefore, on further investigation, they found that the importer on record had given his name and TIN number to be

[1] Page 27 – 29 of the Brief.

used by the virtual importer Ayubdeen to import the said goods, since Ayubdeen had already been convicted of several of similar such offences under the Customs Ordinance.

At the inquiry, the said producing officer further gave evidence and he described as to how the goods are sent by a shipper from a foreign land to the country, how the relevant documents are prepared and handed over to the shipper through the forwarding agent, and then how everything is mentioned in the manifest since the ship owner had to send the manifest 72 hours before the arrival of the ship, and thereafter, in the Customs Declaration similarly the same description has to be included. The said description made by the said producing officer is mentioned here for the purpose of clarity on which, the senior Attorney-at-Law who appeared for the two suspects, had never cross-examined;

> *"Q: Would you explain as to how each of those documents are being generated?*
>
> *A: Invoice and packing list are been prepared by the shipper Bill of Lading is generated by the shipping agent in the Country of export based on the information provided by the shipper. Those information should be the same that are being submitted to the Customs authorities of the country of export. The shipper sends those information to the shipping agent in a form generally called as shipper's instructions. Shipping agent once receive this shipper's instruction prepare a B/L draft and sends it to the shipper for confirmation. Once confirmed the shipping agent prepares the B/L and it is his duty to make sure that the B/L tally with the Customs Declaration. DO is issued by the shipping agent in Port of destination based on the information containing the B/L. Either the importer or his agent prepares the working sheet to facilitate the enumeration in the CusDec.*

*Q: Can a Cusdec be processed if any mismatch prevails between the documents that you referred to?*

*A: No. The Customs Officer at the receiving Counter who verifies the CusDec with the E-manifest has to make sure that the information in both documents are the same. The Appraiser who process the CusDec can process the CusDec only if the information in the CusDec are the same as appear in the invoice and packing list. If he observes any mismatch he cannot process the CusDec until necessary amendments are been made."*[2]

It was further his evidence that it was also found that the importer on record (the Petitioner) also had previous convictions. He has seven of such non-declaration of goods imported under his name and he had to pay the penalty on seven occasions. It was also revealed that in this particular shipment, the Petitioner has allowed Ayubdeen to use his name for the purpose of the importation of the said relevant goods; his TIN number had also been used to clear the same. In fact, it was further revealed that even the initial mitigated duty was paid not by the Petitioner or Ayubdeen but by a third party, through a money transfer from an account in the Sampath Bank.

In addition to the producing officer, the prosecution has called the present Petitioner, Rifas, to give evidence. It transpired in his evidence that he is not the virtual importer of the goods as he is not aware of what was in fact imported; according to him, everything was handled by Ayubdeen, and once he had received the relevant papers, he had given it to Ayubdeen, who had then handed it over to the clearing agent. In fact, the Petitioner also mentioned the fact that since he had already registered under Section 115 of the Customs Ordinance as an importer, he had allowed Ayubdeen

[2] Page 29 – 30 of the Brief.

to use his name to import the relevant consignment, and he has also given his TIN number to clear the same.

It further transpired in his evidence that he was convicted on seven occasions earlier for non-declaring of goods similar to the present incident, and after conviction he was fined. Further, he also confirms the fact that he was unaware about who had paid the relevant duty as reflected in **P3** and further admitted that Ayubdeen was the one who had arranged the bank guarantee (**P4**) to be issued.

In addition to that, the prosecution called for an employee of the clearing agent, and according to him, he had received the shipping documents including the commercial invoice and packing list, for the purpose of clearance; through his employees, he had prepared the Customs Declaration with the help of the importer, which the same was submitted through an employee of his company. He also considered that certain goods that had been imported (ready-made garments) were not mentioned in the Customs Declaration which had already been mentioned in the commercial invoice and packing list. In addition to that, he also admitted in evidence that the shipper's name had been changed with the permission of the Customs of the country of export; however, there was no application to correct the Customs Declaration to align with the shipping documents. Thereafter, Ayubdeen was required called to give evidence, but by that time, he had already left the country.

It was argued on behalf of the Petitioner that under Section 2, although an appeal can normally be preferred, it can be preferred by an importer and not by the producing officer. Therefore, the appeal made by the producing officer to the 1st Respondent to this Application is an unusual appeal.

However, the said argument advanced on behalf of the Petitioner is stultified per se, since if an appeal can be made or preferred in terms of Section 2, whether by an importer or a customs officer, it can be made. The second aspect is that, in fact, customs officers are entitled to make an appeal (including judgment) if it is so.

Further, the 1st Respondent can exercise his powers when an appeal is preferred for the purpose of maintaining the superintendent of all matters.

However, on the important points that I have mentioned above, were never cross-examined by the counsel who appeared and represented the present Petitioner and the other suspect Ayubdeen, at the inquiry. Several other suspects were also named in the inquiry; however, none of them were present or represented. Since there was a strong case made out by the prosecution, the present Petitioner (the suspect) and Ayubdeen, who was represented by a lawyer at the inquiry, were called upon to show cause.

However, none of those people had come forward and given evidence at least in the investigations. In those circumstances, the initially though the inquiring officer imposed Rs. 841,980/- as the Custom duty, and on payment thereof, the said goods were ordered to be released as per the document marked as **P3**.

**Appeal by the producing officer under Section 2**

Since there is a serious challenge by the Petitioner as to the mode of inquiry conducted under Section 8, which was directed in terms of Section 2, read with Section 47, by the 1st Respondent, the producing officer has so requested the 1st Respondent to give a direction to reconsider the case against the suspects under Section 47 as well since there was a serious violation under Section 47

as well, now I will consider the procedure embarked upon by the Respondents, though there may be little consideration for the purpose of considering the said allegation to consider whether they have acted within the law.

**Procedure followed**

Initially when the producing officer retained the Customs documents when it was submitted for clearance, and investigated into the matter, the initial inquiry was embarked upon by the Inquiring Officer under Section 8, who made an order under Section 50 for the non-declaration of certain goods that had been imported which is liable to custom duty. Thereafter, the Inquiring Officer had decided to release the goods so imported and undeclared on payment of the duty, as reflected by **P3**. However, at that stage, the Inquiring Officer has requested from the 1st Respondent to give a direction under Section 2, read with Section 47, to reconsider the order and offence committed by the suspects. Subsequently, the full-scale inquiry was held in terms of sections 2, 8, and 47 of the Ordinance, and thereafter, the Inquiring Officer has made the final order marked as **P5**, forfeiting the said goods imported and undeclared. However, since the goods had already been released on bank guarantee marked as **P4**, he has used his discretion under Section 163 to mitigate the forfeiture and impose a mitigated penalty to act as the bank guarantee for Rs. 10,000,000/-, which has already furnished by the importer. In addition to that, he has further ordered to have the original custom duty already paid, to remain as it is.

Now I will consider whether this is justified.

The producing officer made an appeal to the Director General (the 1st Respondent) to give a direction to revisit the said transaction and make an order under Section 47 of the Customs Ordinance for the non-declaration of the said goods that should have been liable for heavy Custom

duty. Thereafter, the officer to whom it was referred to, has revisited the same, and found that there is a discrepancy in describing the goods that were imported to Sri Lanka, amounting to about 90% of the goods contained in the said container, and was viewed as a loss to the Customs; in turn the Government loses its revenue and as such, he forfeited the said goods and allowed to clear the goods on furnishing a bank guarantee amounting to Rs. 10,000,000/- since the chargeable duty of Rs. 13,750,000/- was mitigated. The same had already been cleared on furnishing of a bank guarantee which has been extended from time-to-time, and in addition to that, what the importer has paid already remained unchanged as part of the duty.

In those circumstances, as submitted by the Petitioner, now I will consider whether it is justifiable for the 1st Respondent to direct it to the same inquiring officer to revisit the offence under a different section of the Ordinance, and to see whether any punishment can be imposed.

The producing officer has so appealed to the 1st Respondent to exercise his powers in terms of Section 2 of the Ordinance, which reads thus;

> *"2. There may be appointed a Principal Collector of Customs and other officers and servants for the management and collection of the customs, and the performance of all duties connected therewith; on such salaries and allowances as may be provided in that securities. behalf, and there may be required of every person now employed or who shall hereafter be employed in the service of the customs, such securities for his good conduct as the Minister may deem necessary, and the Principal Collector of Customs shall, Principal throughout Sri Lanka, have the general Collector superintendence of all matters relating to the customs."*

I rely on the case of *Subramaniam Vasudevan and Others v. Director General of Customs and Others*[3], where this Court held the following;

> *"Although Section 2 does not strictly denote an appeal process, the Director Generals powers encompasses the powers of the Customs and that included the power to conducts inquiries and appeals. Therefore, it is implicit that he is empowered to even accept appeals. If such an inference was not so, there would be no avenue to address grievances, leaving the Petitioners unheard and potentially leading to a situation where the Respondents can evade accountability."*

When the producing officer concludes his investigations, he can request the relevant officer in charge of the unit to hold an inquiry. Accordingly, the inquiry has been initiated in terms of Section 8 of the Ordinance. The allegation against the importer is that there is a mismatch in the description of goods imported as mentioned in the Customs Declaration with the shipping documents including the commercial invoice, Bill of Lading, and the packing list. In addition to the 'manifest', which was sent by the captain of the vessel 72 hours before the arrival at the Port.

Accordingly, it is my view that for the purpose of maintaining the superintendence of all matters that he is not only empowered to exercise such powers, but is also under a duty to exercise such powers for the purpose of collecting the duty which should have been collected if the goods imported by the importer were correctly declared in the Customs Declaration form.

To buttress my view above, I rely on the judgement in the case of *Navaratne v. Director General of Customs and Others*[4], wherein Justice Wijayaratne states as such;

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[3] CA Writ 463/2021 (CA Minutes 02.05.2024).
[4] [2003] 3 Sri L.R. 310.

*"The main thrust of the arguments of the counsel for the petitioner was on the suggestion that the 1st respondent has no power or authority of revising the order made by the 2nd respondent. There is no specific provisions found in the Customs Ordinance specifically authorizing or empowering the Director-General of Customs to revise an order made by an inquiring officer deputizing the Director General of Customs. However, the provisions of section 2 of the Customs Ordinance vested the Director-General of Customs with 60 the power of superintendence which reads,*

> *'The Director-General of Customs shall, throughout Sri Lanka, have the General Superintendence of all matters relating to customs'*

*To 'Superintend' means 'to regulate with authority' and to regulate means 'to adjust by rule, method or established mode; to subject to governing principles of laws' (Blanks Dictionary 6th Edition)*

*Thus, the Director-General of Customs has the power to regulate/to subject to governing principles or laws, all matters relating to the customs, which includes subjecting the orders made by his deputies to the laws and to adjust matters by rules (of Department of Customs).*

*Accordingly, this court is of the view that the Director-General of Customs has implied power and authority in exercise of his Superintendence of all matters relating to the Customs to revise any order made by any deputy. Reasons dictate that for the proper management and due administration of all matters relating to customs and specially to such abuse of power and authority by the officers of the Department the Director-General of Customs should be vested with such powers and authority. Consequently, I hold that the Director-General of Customs had the power to revise any order made by any Deputy or*

*subordinate officer on legitimate grounds and or for reasons stipulated, in the direction of proper management and due administration of all matters relating to customs."*

It has transpired that the value of the goods imported is Rs. 28,303,836/-, and under Section 47, the punishment that can be imposed if such goods are not declared is that it can be forfeited in addition to the fine that can be imposed. For further clarity, Section 47 of the Ordinance reads thus;

*"47.The person entering any goods inwards, whether for payment of duty or to be warehoused, or for payment of duty upon the taking out of the warehouse, or whether such goods be free of duty,* ***shall deliver to the Collector a bill of entry of such goods, on a form of such size and colour as may be specified in that behalf by the Collector by Notification published in the Gazette, and be fairly written in words at length, expressing the name of the ship, and of the master of the ship in which the goods were imported,*** *and of the place from which they were brought, and the description and situation of the warehouse, if they are to be warehoused, and* ***the name of the person in whose name the goods are to be entered****, and the quantity,* ***value and description of the goods,*** *and the number, dimensions, and* ***denomination*** *or* ***description of the respective packages containing the goods, and such other particulars as the Collector*** *by that or a* ***subsequent Notification may require him to furnish,*** *and in the margin of such bill shall delineate the respective marks and numbers of* ***such packages. The particulars furnished in the bill of entry shall be supported by such documents containing such particulars as the Collector may****, by Notification published in the Gazette,* ***require If such person fails to deliver a bill of entry prepared, and supported by such documents, as aforesaid, he shall be liable to a penalty not exceeding one thousand rupees. Such person shall pay any duties and dues which may be payable upon the goods mentioned in such entry; and such person shall also deliver***

***at the same time two or more duplicates of such bill****, in which bill all sums and numbers shall be expressed in figures, and the particulars to be contained in such bill shall be legibly written and arranged in such form and manner, and the number of such duplicates shall be such, as the Collector shall require, and such bill of entry when signed by the Collector, or person authorized by him, and transmitted to the proper officer, shall be the warrant to him for the examination and delivery of such goods;* ***but if such goods shall not agree with the particulars in the bill of entry the same shall be forfeited, and such forfeiture shall include all other goods which shall be entered or packed with them as well as the packages in which they are contained.****"* [Emphasis is mine]

However, in terms of Section 163, he can mitigate the forfeiture, which he has done. For further clarity, Section 163 of the Ordinance reads thus;

*"163. In all cases in which under this Ordinance any ships, boats, conveyances, goods, or other things have become liable to forfeiture, or shall have been forfeited, and in all cases in which any person shall have incurred or become liable to any penalty, it shall be lawful for the Collector, should he deem such forfeiture or penalty unduly severe, to mitigate the same; but all cases so determined by the Collector shall nevertheless be liable to revision by the Minister.*

*(* Application modified by section 86 (2) of the Sri Lanka Ports Authority Act.)"*

Therefore, it is my view that imposing the said punishment and also mitigated under Section 163, releasing the same on Rs. 10,000,000/- is justifiable, as the inquiring officer is empowered to do on the powers conferred under the said Section 163. As such, I do not see any reason to interfere with the said order.

**Conclusion**

Accordingly, I dismiss this Application subject to the cost of Rs. 52,500/- (Fifty-Two Thousand Five Hundred Rupees) payable by the Petitioner.

**JUDGE OF THE COURT OF APPEAL**